

Internal Control Policy

Document: Internal Control Policy

Owner: Chief Financial Officer

Effective date: 2081-04-01

Next review: 2082-04-01

1. Purpose

This policy sets out the minimum internal control standards to be observed by all departments of Himal Trading & Manufacturing Pvt. Ltd.. It is aligned with the COSO 2013 framework and ICAN's guidance on internal control.

2. Segregation of duties

No single individual shall (a) initiate, (b) approve, and (c) record any financial transaction. Reviewer and approver must be different persons. Where this is impractical (small department), compensating controls — independent review or quarterly rotation — must be documented.

3. Approval matrix

Transaction type	Threshold (NPR)	Approver
Purchase requisition	Up to 1,00,000	Department Head
Purchase requisition	1,00,001 — 5,00,000	Procurement Manager + CFO
Purchase requisition	Above 5,00,000	CEO + Board sub-committee
Journal entry (non-routine)	Any	Accounts Manager
Payment	Above 10,00,000	CFO + one Director
Related party transaction	Any	Board approval, declared in minutes
Write-off / waiver	Any	CFO + Board ratification

4. Vendor master controls

All new vendors must be on-boarded through the Procurement department with KYC documents: PAN/VAT registration certificate, bank details, registered office address. The Accounts Payable team shall not process invoices from vendors not on the approved list. Duplicate vendor codes are prohibited.

5. Cash and bank

Bank reconciliation must be performed monthly within 5 working days of month-end and signed off by the Accounts Manager. Cash holdings at any business location must not exceed NPR 50,000.

6. Policy exceptions

Any deviation from this policy requires written approval from the CFO and must be logged in the Exception Register. The CFO shall present a summary of exceptions to the Audit Committee on a quarterly basis.

This is a synthetic teaching document. No real entity is referenced. Himal Trading & Manufacturing Pvt. Ltd. is fictional.